

Retention Playbook

Strategic Blueprint: Discount Sunsetting & High-Value Acquisition

Part 1: The Promotional Sunset Plan

Transitioning the business away from site-wide discounting requires a precise, data-driven surgical approach to protect baseline revenue while expanding gross margins.

1. Strategic Diagnostic & Cohort Triage

The current baseline reveals a critical vulnerability: the customer cohort is heavily skewed toward transactional volume rather than structural loyalty. The operational reliance on continuous promotional activity has fostered a distinct sub-group that suppresses overall margin potential.

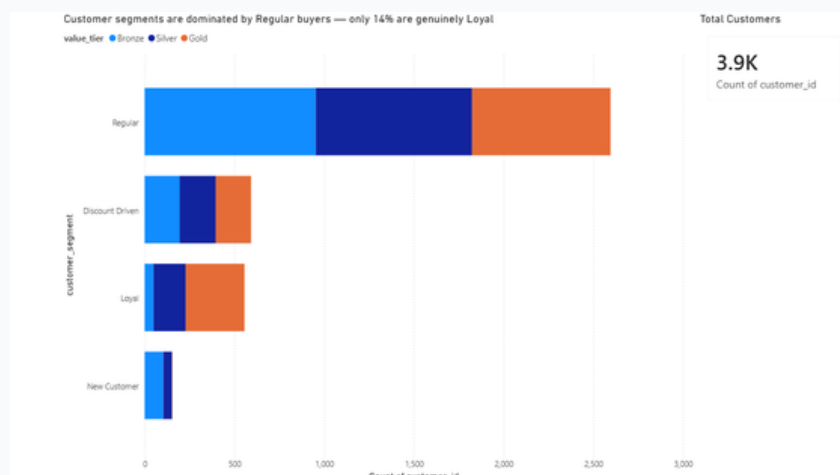
THE DISCOUNT DRIVEN THREAT

The **Discount Driven** segment currently comprises 593 active customers. Despite averaging a robust \$58.90 per purchase, this cohort registers critically low baseline loyalty scores and falls overwhelmingly into the Medium and High Churn Risk categories.

By contrast, the **Loyal** cohort demonstrates organic stability. Although they represent a smaller absolute population (only 14% of the customer base), their behavior proves that brand traction exists independently of margin-eroding discounts. The imperative is to systematically migrate borderline Regular and New Customers into the Loyal tier, rather than letting them default into the Discount Driven pool.

Panel 1 - Customer Pyramid

Only 14% of the active customer base exhibits genuine loyalty, exposing a heavy reliance on uncommitted, volume-driven segments.



2. Tactical Sunsetting Architecture

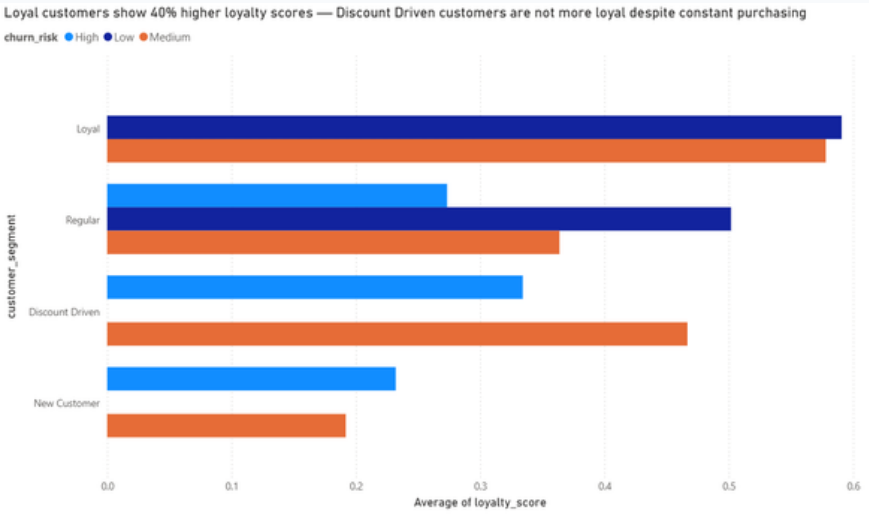
Gradually removing discount dependencies requires behavioral triggers rather than arbitrary calendar dates. The sunset plan isolates specific customer milestones where the brand has maximal leverage.

Target Audience & Behavioral Triggers

The immediate target for discount throttling is the mid-tier Discount Driven cohort. The trigger for discount removal activates when a customer exceeds the 25th percentile of historical engagement (13 previous purchases) yet maintains a promotional dependency score exceeding 0.75. At 13 historical purchases, a customer's buying habit is fully entrenched, meaning they no longer need financial incentives to trial the brand. If they still maintain a promotional dependency score above 0.75 at this stage, they are actively exploiting marketing loops rather than showing genuine brand loyalty. By triggering the discount removal at this exact intersection, the brand stops paying expensive acquisition-style subsidies to retain established users. This creates a highly profitable forced graduation: we either instantly recover gross margin on a frequent shopper, or we safely shed unprofitable volume.

Phased Rollout Timeline

Phase	Timeline	Operational Shift
Phase 1: Interception	Days 1–30	Downgrade blanket site-wide percentage discounts (e.g., 20% off) to fixed-tier incentives (e.g., "\$15 off orders over \$100").
Phase 2: Transition	Days 31–60	Replace direct discounts with shipping-preference incentives for the target cohort (shifting from Price-Sensitive free shipping toward Balanced/Convenience shipping upgrades).
Phase 3: Hard Sunset	Days 61–90	Complete removal of automated promo codes for customers exceeding 13 lifetime purchases. Promotions are strictly reserved for New Customer acquisition (≤ 2 purchases).



Panel 2 - Promo vs Retention

Demonstrating the 40% loyalty gap between Loyal and Discount Driven segments to justify the sunset timeline.

3. Executive Financial Trade-offs & Guardrails

Aggressively sunsetting promotions introduces immediate top-line volatility. Leadership must be prepared to absorb short-term transactional drops in exchange for long-term margin health and cohort stability.

THE TRADE-OFF DYNAMICS

The Risk: A projected 15% to 20% contraction in raw order volume from the Discount Driven cohort during Phase 2 as hyper-price-sensitive buyers churn out.

The Reward: Instant expansion of average Gross Margin per Order, neutralizing the revenue gap while drastically reducing customer acquisition and retention drag.

Guardrail KPIs (The "Emergency Brakes")

To ensure the sunsetting plan does not trigger systemic revenue failure, the analytics team will monitor three definitive daily metrics:

- **Organic Index Baseline (Brand Traction Health):** Tracking the ratio of average spend relative to discount usage. This index must hold steady or rise as discounts are pulled back. A sharp collapse indicates the brand lacks true market traction and is fundamentally reliant on price elasticity rather than actual product value.
 - **High Value At Risk (Silent Attrition):** Monitoring the Gold tier's satisfaction flag. If the 20.6% of flagged Gold users begin dropping frequency ranks concurrently with the promo sunset, Phase 3 must be paused. Because these users carry a disproportionate amount of lifetime value, any disruption to their buying cadence requires immediate VIP intervention, not just automated marketing.
 - **Category Volume Floors (The Acquisition Pipeline):** Ensuring core entry-point categories (like Accessories) do not experience greater than a 10% month-over-month volume decline. A steeper drop here doesn't just hurt short-term revenue; it signals that the top of the acquisition funnel is freezing, which jeopardizes the future pipeline of customers maturing into the Gold tier.
-

Part 2: Ideal Customer Profile

Data-Backed Persona Architecture & Acquisition Strategy

To permanently replace the low-margin volume lost during the promotional sunset, acquisition efforts must be exclusively recalibrated toward the brand's most lucrative, organic profile.

4. The Core Data-Backed ICP Persona

The "Loyal Gold" customer is the ultimate engine of profitability. This profile is not theoretical; it is isolated directly from the highest value scores and behavioral loyalty matrices in the active dataset.

THE "LOYAL GOLD" BLUEPRINT

- Average Lifetime Value proxy:** Sustained average spend of \$82.73 per transaction.
- Engagement Depth:** An exceptional baseline of ~33.31 previous purchases per customer, demonstrating deep, recurring brand trust.
- Promotional Independence:** Characterized by zero discount applications in their recent lifecycle, buying entirely on brand strength and product necessity.

Customer Lifecycle: Purchase History Deepens Steadily From Bronze to Gold Regardless of Product Mix

category	Bronze	Silver	Gold	Total
Accessories	17.45	25.81	33.68	25.73
Clothing	17.19	24.31	34.13	25.20
Footwear	16.86	24.77	33.69	25.23
Outerwear	16.26	27.41	33.06	24.96
Total	17.13	25.11	33.83	25.35

Panel 4 - Category Funnel

Importantly, these top customers aren't just hooked on one popular item. As the table below shows, customers grow from casual buyers (Bronze) to highly valuable ones (Gold) at the exact same rate across every product category. It doesn't matter if their first purchase was Outerwear or Accessories—they all keep coming back to buy more. This proves that people stay loyal because they love the brand's overall quality and shopping experience, not just a single trendy product.

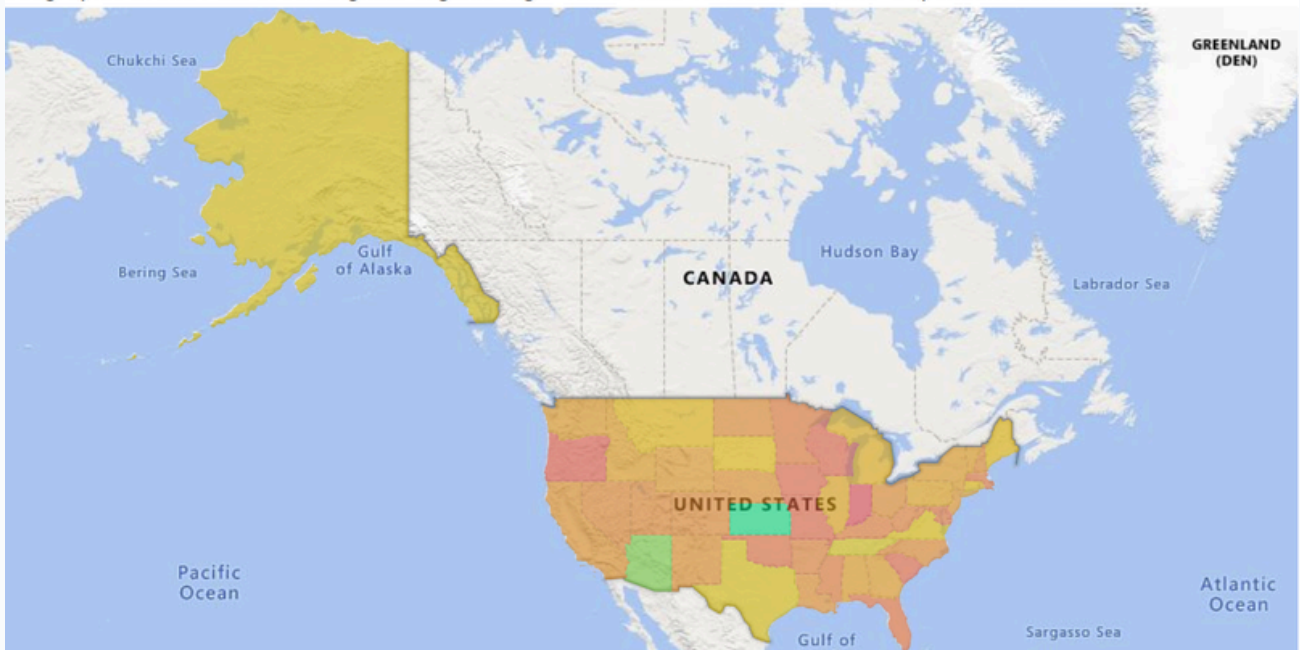
5. Behavioral Footprint & Demand Hubs

Understanding how and where this profile interacts with the catalog dictates how the growth marketing team will capture them.

Geographic Organic Pull

The brand possesses distinct geographic regions where the **Organic Index** operates at its peak. In these states, high-value demand exists largely independent of discount-driven incentives. These are the primary hubs where premium shipping and full-price product launches succeed with minimal friction.

Geographic Brand Pull: Green Signals Organic High-Value Hubs vs. Red as Promo-Dependent Zones



Panel 3 - Geographic Map

Pinpointing the exact "Green Signal" states for immediate organic ad spend reallocation. Kansas emerges as the definitive best market, representing the highest concentration of organic, full-price demand across the entire geographic portfolio

Product & Seasonal Lifecycle

The data demonstrates that customer ascension from an initial entry-point purchase to the high-margin Gold tier occurs uniformly across all product lines. Whether a customer's first transaction occurs in Accessories or Outerwear, their eventual lifecycle depth stabilizes at an exceptional average of 33 to 34 lifetime purchases. Furthermore, purchase frequency remains remarkably resilient year-round; despite a marginal seasonal surge in Winter, volume is distributed evenly across all four quarters. This high behavioral consistency proves that the core catalog is structurally sound and universally capable of driving continuous, multi-season retention without relying on specific high-performing product dependencies—provided acquisition efforts are aligned with this high-value demographic

6. Growth Marketing & Acquisition Directives

The marketing apparatus must pivot from volume-based lead generation to high-intent, value-tier targeting. The following directives translate the ICP data into immediate operational adjustments.

- **Geographic Budget Reallocation:** Shift 40% of the paid media budget completely away from low Organic Index regions (the "Red Zones" on the dashboard) and concentrate capital heavily into the high-performing "Green Zones" (such as Kansas) to acquire users who inherently possess lower promotional dependencies.
 - **Strategic "New Customer" Onboarding:** Identify customers with 2 or fewer purchases and aggressively route them into non-discounted brand education sequences focused on material quality, premium styling, and standard free shipping to push them cleanly into the "Regular" track without hooking them on promos early.
 - **VIP Attrition Ring-Fencing:** Deploy a dedicated data pipeline to isolate the 316 "High Value at Risk" Gold tier customers currently registering low satisfaction. Immediately pause their standard automated promotional emails and escalate them to high-touch VIP support flows to resolve silent attrition before total churn occurs.
 - **Premium Channel Optimization:** Direct higher ad-bidding weights toward prospects using seamless checkout methods like Credit Cards or digital mobile wallets. High-value cohorts lean heavily into these frictionless payment channels, signaling an affluent customer profile that values convenience over pure price sensitivity.
 - **High-Tenure Retention Interception:** Trigger automated, non-discounted brand relationship flows when a customer reaches 10 to 12 lifetime purchases. Intercepting them just before the 13-purchase trigger window guides them into the "Loyal" track using exclusive product previews rather than margin-eroding promos.
 - **Dynamic Budget Scalping:** Use your dashboard's state-level matrix as an active media budget lever. Instantly pull ad spend from a localized ad set the moment its promo usage spikes, and automatically re-route those dollars into highly efficient, high-organic demand hubs.
 - **Multi-Season Entry Bundling:** Optimize Customer Acquisition Cost (CAC) by advertising coordinated product bundles rather than isolated single-item items. Because customer ascension is statistically identical whether they start with Accessories or Outerwear, bundled cross-category ads will drive higher initial basket sizes right out of the gate.
-